UNGA GROUP Plc

HALF YEAR RESULTS

The Directors are pleased to announce un-audited financial results for the six months ended 31 December 2018.

CONSOLIDATED STATEMENT OF INCOME

	2018 Shs'000	2017 Shs'000
Revenue	9,034,206	11,077,744
Operating profit	423,831	716,796
Other income	41,080	16,591
Forex loss	(25,350)	(301)
Profit before tax	**439,561**	**733,087**
Tax expense	(131,082)	(221,954)
Profit for the year from continuing operations	308,479	511,134
Profit for the year from discontinued operations	(2,191)	-
Profit for the period	**306,288**	**511,134**
Attributable to:		
Owners of the parent	195,645	330,274
Non-controlling interest	110,643	180,860
	306,288	**511,134**
Basic and diluted earnings per share (Shs)	**2.58**	**4.36**

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2018

	2018 Shs'000	2017 Shs'000
Assets		
Non-Current Assets	3,861,266	3,637,071
Current Assets	6,452,549	7,039,222
Total Assets	**10,313,815**	**10,676,292**
Equity and Liabilities		
Share Capital	378,535	378,535
Reserves	3,492,117	3,615,936
Minority Interests	2,048,174	1,935,437
Non-Current Liabilities	1,283,589	734,783
Current Liabilities	3,111,399	4,011,602
Total Equity and Liabilities	**10,313,815**	**10,676,292**

CONSOLIDATED STATEMENT OF CASH FLOWS

	2018 Shs'000	2017 Shs'000
Cash generated from operations	422,338	(343,177)
Tax Paid	(472,888)	(80)
Net cash used in operating activities	(50,550)	(343,257)
Net cash used in investing activities	(188,557)	(188,554)
Net cash from/(used in) financing activities	54,786	(97,698)
Net decrease in cash and & cash equivalents	(184,320)	(629,508)
At the beginning of the period	1,085,246	1,714,755
At the end of period	**900,926**	**1,085,247**

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Equity attributable to equity holders Shs'000	Non-controlling interest Shs'000	Total Sh'000
At 1 July 2018	**4,502,274**	1,821,184	**6,323,458**
Profit for the year	**195,645**	110,643	**306,288**
Other comprehensive Income for the year	**153**	-	**153**
Total comprehensive income for the year	**195,798**	**110,643**	**306,441**
At 31 December 2018	**4,698,072**	**1,931,827**	**6,629,899**

COMMENTARY

The Group reports an 18% decline in revenue compared to prior year. Volumes and margins declined in the human nutrition business due to increased competition and depressed consumer demand. The animal nutrition business recorded improved performance, whilst the bakery business met expectations.

Wheat milling capacity and efficiencies have improved with the commissioning in December of the new wheat mill in Eldoret. The soybean meal plant installation is underway at Dakar Road and is expected to be completed by end this financial year.

Future outlook

With the prevailing depressed demand for flour, the second half of the year ending June 2019 will continue to be challenging. Moreover, the full year results are expected to be significantly lower than prior year. The Board will continue to apply strategies to ensure best performance under the circumstances.

PROFIT WARNING

UNGA GROUP Plc (the Company) makes this announcement pursuant to Regulation G.05 (1) (f) and (2) of the Nairobi Securities Exchange Listing Manual and the Capital Markets (Securities) (Public Offers, Listing and Disclosure) Regulations, 2002.

Based on the Company's unaudited financial results for the first six months ended 31 December 2018 and the Company's second half forecast, profit for the full year is likely to be at least 25% lower than prior year.

The Directors do not recommend the payment of an interim dividend.

By order of the Board
W Jumba
Company Secretary

28 February 2019